before proposing additional disclosure amendments.[129] Similarly, we anticipate that the recently adopted changes to the variable insurance contract disclosure framework would significantly change investors' experience with variable contract disclosure. While these changes are focused more on prospectus disclosure and not shareholder report disclosure, we would like to assess the impact of these changes prior to proposing additional disclosure changes for variable contracts.[130] Our proposed amendments therefore do not extend at this time to other investment companies such as closed-end funds, unit investment trusts, or managed open-end investment companies not registered on Form N-1A (*i.e.,* issuers of variable annuity contracts registered on Form N-3).

We request comment on the scope of entities that would be covered by our proposed amendments to annual reports, including the following:

9. To what extent, if any, should the proposed amendments to shareholder reports be extended to other investment companies besides open-end mutual funds and ETFs organized as management investment companies?

10. For example, ETFs can be organized as management investment companies registered on Form N-1A or as unit investment trusts ("UITs") that are registered on Form N-8B-2 and subject to certain Commission exemptive orders. UIT ETFs are organized

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[129] *See, e.g.*, Closed-End Fund Offering Reform Adopting Release, *supra* footnote 128, at Section II.I.2.a (discussing new annual report requirements for funds that file a short-form registration statement), Section II.I.2.b (discussing proposed MDFP disclosure that would appear in registered closed-end funds' annual reports), and Section II.I.5 (discussing enhancements to certain registered closed-end funds' annual report disclosure).

[130] Moreover, of the variable contract structures, only variable contracts with separate accounts structured as management investment companies—those registered on Form N-3—have annual and semi-annual shareholder reporting requirements under rule 30e-1.

differently than and subject to a different disclosure framework than funds.[131] For example, exemptive orders for UIT ETFs generally require these ETFs to transmit annual reports that include their financial statements, but the content of these ETFs' annual reports is not necessarily the same as the current content of funds' annual reports. Despite these differences between funds and UIT ETFs, should UIT ETFs be permitted to rely upon proposed rule 498B, or permitted or required to use a tailored annual report? If so, to what extent, if any, should the conditions to rely on proposed rule 498B or use a tailored annual report be modified for UIT ETFs? If a UIT ETF were to use a tailored annual report, should the content of its report differ from the content of a tailored annual report for open-end management companies? For example, should this ETF's financial statements remain in the report in accordance with its exemptive order, or should it be able to provide its financial statements through other means (*e.g.*, on a website and through a Form N-CSR report, even though these ETFs are not otherwise required to file Form N-CSR reports), subject to potential conditions that the ETF provide other information in an annual report? Do shareholders in UIT ETFs have the same informational needs as fund shareholders? For example, do UIT ETFs' shareholders need the same performance information, or do their needs differ since a UIT ETF generally replicates an index?

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[131] A UIT is an investment company organized under a trust indenture or similar instrument that issues redeemable securities. *See* section 4(2) of the Investment Company Act [15 U.S.C. 80a-4]. By statute, a UIT is unmanaged and its portfolio is fixed. A UIT does not have a board of directors, corporate officers, or an investment adviser to render advice during the life of the trust. ETFs organized as UITs seek to track the performance of an index by investing in the component securities of an index in the same approximate proportions as the index. *See* ETF Adopting Release, *supra* footnote 75, at nn.42, 44.

11. Should the Commission amend the requirements for registered closed-end funds' and BDCs' annual reports, to reflect any of the amendments we are proposing for open-end funds' annual reports?[132] As an example, the Commission recently adopted rules requiring: (1) certain closed-end funds (registered closed-end funds, as well as BDCs) to include key information in their annual reports regarding fees and expenses, premiums and discounts, and outstanding senior securities that the funds currently disclose in their prospectuses; and (2) registered closed-end funds to provide management's discussion of fund performance in their annual reports to shareholders.[133] If the Commission were to propose to tailor closed-end funds' shareholder reports in a manner that is similar to how we are proposing to tailor open-end funds' shareholder reports, how should such tailoring incorporate these recently adopted disclosure requirements, as well as the other content that currently appears in closed-end funds' shareholder reports? For example, should we propose to update the fee and expense information that appears in closed-end funds' shareholder reports to more closely match the proposed fund expense presentation that would appear in open-end funds' shareholder reports? As another example, would it be appropriate to require closed-end funds to file on Form N-CSR certain information that currently appears in their shareholder reports (such as their full financial statements) and make this information available on a website, instead of including it in their reports, as we are proposing for open-end funds?

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[132] *See also infra* text accompanying footnote 645 (asking whether to extend any of the new requirements for funds' prospectus risk disclosure to the risk disclosure that certain closed-end funds are required to include in their annual reports).

[133] *See supra* footnote 129.

2. Contents of the Proposed Annual Report

The following table outlines the information the proposed rule would generally require funds to include in their annual reports. As is the case today, the proposed annual report would not be subject to page or word limits. We are not proposing page or word limits because we believe such limits could constrain appropriate disclosure or lead funds to omit material information. However, we believe that the proposed limits on the contents of these reports would limit their length, which would support our goal of concise, readable disclosure.[134]

TABLE 2: OUTLINE OF PROPOSED ANNUAL REPORT

	Description	*Proposed Item of Form N-1A*	*Current Item of Form N-1A Containing Similar Requirements*
Cover Page or Beginning of Report	Fund/Class Name(s)	Item 27A(b)	--
	Ticker Symbol(s)	Item 27A(b)	--
	Principal U.S. Market(s) for ETFs	Item 27A(b)	--
	Statement Identifying as "Annual Shareholder Report"	Item 27A(b)	--
	Legend	Item 27A(b)	--
Content	Expense Example	Item 27A(c)	Item 27(d)(1)
	Management's Discussion of Fund Performance	Item 27A(d)	Item 27(b)(7)

[134] For example, we believe funds generally would be able to reduce the length of their annual reports from more than 100 pages on average to a more concise presentation that is approximately 3 to 4 pages in length for paper reports, or an equivalent length for electronic reports. For paper reports, the amendments may allow funds to deliver annual reports using a trifold self-mailer (or a similarly concise mailing). A trifold self-mailer can eliminate the need for an envelope or separate pieces of paper. It is generally a large piece of paper that is folded to create multiple pages of information within a self-contained piece of mail.

	Fund Statistics	Item 27A(e)	--
	Graphical Representation of Holdings	Item 27A(f)	Item 27(d)(2)
	Material Fund Changes	Item 27A(g)	--
	Changes in and Disagreements with Accountants	Item 27A(h)	Item 27(b)(4)
	Statement Regarding Liquidity Risk Management Program	Item 27A(i)	Item 27(d)(6)(ii)
	Availability of Additional Information	Item 27A(j)	Item 27(d)(3) through (5)
	Householding Disclosure (optional)	Item 27A(k)	--*

* Rule 30e-1(f)(3) currently requires a fund to explain, at least once a year, how a shareholder may revoke his or her consent to householding. This explanation is not currently required in funds' shareholder reports, and we similarly would not require it in the proposed annual report.

To help market participants understand this proposed disclosure, Appendix A to this release includes a hypothetical annual report. This hypothetical annual report is provided solely for illustrative purposes and is not intended to imply that it would reflect a "typical" annual report under the proposed amendments. We also are providing the hypothetical annual report to illustrate for investors what a more concise, tailored shareholder report could look like and are providing a feedback flier that investors can use to provide their views on the hypothetical report and other issues in Appendix B.[135]

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[135] The hypothetical annual report is substantially similar to the prototype summary shareholder report that two commenters used in investor surveys. *See supra* footnote 44. For example, both of these sample reports provide information about a fund's expenses, performance, and holdings. The primary differences between the sample reports are that the hypothetical annual report would include a modified expense presentation, a performance line graph similar to current shareholder reports, and two new items related to fund statistics and material fund changes. Further, while the commenter that developed the prototype summary shareholder report supported the inclusion of liquidity risk management program disclosure, the prototype did not include this disclosure because the underlying requirement was not effective at that time. *See* ICI Comment Letter I.